

TRACK 23 (PHASE 1)

A SMART PUBLIC TRANSPORTATION SERVICE

Track 23 is a commercial transport organization built on a strategic structure and operational framework that prioritizes efficiency, transparency, and sustainability. By integrating technology with traditional public transportation, it bridges the gap between bus-providing transport companies and the drivers who operate them.

This is a *Commercial Transport Business* designed to simplify operations for the business owner, investors, drivers, and passengers alike. This business model combines local mini-bus transportation system with technology.

We will kick off operations using **Mini Buses**, commonly referred to as *Korope*, operating along the **Egbeda – Iyana-Iba** and **Iyana-Iba – Egbeda** routes, including surrounding areas.

Requirements:

- 12 Mini Buses
- 20 Drivers
- Central Bus Hub & Management Point
- A software system to monitor and manage buses and drivers
- In-House Maintenance & Emergency Response Plan
- Administrative Team – Operational Support & Oversight
- Security Personnel and Cleaners

Goals:

1. Simplify Transport Operations

- For **owners, investors, drivers, and passengers** through a well-structured, efficient, and tech-enabled system.

2. Ensure Continuous and Reliable Service

- Operate 10 buses daily with 2 in rotation to reduce wear and tear and allow for maintenance without disrupting service.

3. Maximize Productivity & Revenue

- Use a **2-driver shift system** per bus (8 hours each) to increase daily trips and avoid downtime.
- Target **₦25,000 remittance per bus** daily to ensure profitability.

4. Improve Oversight and Accountability

- Use a **Central Hub** for all operations to prevent vehicle misuse and enforce transparency.

- Prohibit drivers from taking buses home to curb fraud and asset mismanagement.

5. Leverage Technology for Smart Operations

- Implement a **GPS tracking system** and **Android-based onboard system** for:
 - Real-time monitoring
 - Hands-free, Cash and Electronic Transactions
 - Navigation and traffic updates

6. Maintain High Standards of Safety and Maintenance

- Rely exclusively on **in-house mechanics** to reduce repair fraud and inflate repair costs.
- Deploy **emergency response mechanics** with motorcycles for quick interventions.

7. Build a Strong Administrative Backbone

- Set up a team to:
 - Monitor routes and driver performance
 - Manage schedules
 - Handle violations or deviations in real time

8. Create a Safe and Professional Environment

- Employ **security personnel** and **cleaners** to maintain order and cleanliness at the facility.

9. Ensure Financial Sustainability

- Estimated net annual revenue: **₦43.2 million**, after accounting for operational expenses.
- Startup investment: **₦150 million**, with clearly defined cost breakdown and contingency.

10. Solve Common Industry Problems

- Provides structured solutions to:
 - Overuse of buses
 - Driver inefficiency
 - Lack of monitoring
 - Unsafe payment handling
 - Poor repair oversight
 - Weak administrative control
 - Facility mismanagement

In summary, the overarching goal is to **create a smart, sustainable, transparent, and profitable transport business** model that can scale over time.

HOW IT WORKS

Bus Rotation Plan

We will operate with **10 buses daily**, while keeping **2 buses on standby** for rotation. For example, if **Bus 1 to Bus 12** is in operation today, then **Bus 4 to Bus 15** will operate the next day. On the following day, the rotation continues with **Bus 7, 8, 9, 10, 11, 12, 13, 14, 15, 1, 2, 3**.

This rotation strategy is designed to **prevent overuse, allow for regular maintenance**, and ensure that **backup buses are always available** in case any of the active one's encounter issues. This approach helps maintain operational efficiency and keeps the business running smoothly without interruptions.

Driver Shift Plan

Although we're operating **12 buses daily**, we require **24 drivers** because each bus will have **two drivers working in shifts**.

From personal observation, in many commercial transport setups, drivers who operate alone often take extended breaks or are unavailable for parts of the day. This leads to **reduced efficiency and lost revenue**.

By assigning **two drivers per bus**, each will work **8-hour shifts**, ensuring the buses are **fully utilized throughout the day**. With defined time slots, drivers are more likely to respect their schedules and stay accountable, ultimately **maximizing productivity and profitability**.

Central Bus Hub & Management Point

We will require a dedicated location to park, manage, and monitor all buses.

One of the common challenges with public transport investments is allowing drivers to take buses home. This often leads to misreporting, reduced daily returns, avoidable excuses, and in some cases, damage to the vehicles.

To address this, all buses will be parked at a secured, designated hub owned or managed by the organization. This location will not only provide safe overnight parking and maintenance, but also serve as the operational center where our staff will closely monitor bus movements and respond to any issues in real time.

By centralizing operations, we minimize risks, improve accountability, and maintain the overall integrity of the business.

Smart Transport Software

Our software solution is designed to do more than track buses and drivers—it will serve as the operational backbone of our transport service, enhancing safety, transparency, and efficiency across the board.

Key Features:

- **Real-Time GPS Tracking:**

Each bus will be equipped with a hidden GPS tracker for 24/7 real-time location monitoring. This ensures accurate oversight of fleet movement and helps optimize route scheduling.

- **Android-Powered System:**

Buses will have an Android-powered interface that supports drivers with live navigation, traffic updates, and alternative routing. This helps avoid congested roads and minimizes delays, improving the overall passenger experience.

- **Cashless Payment Integration:**

Passengers will be able to make payments directly into the driver's linked bank account via the onboard system. This hands-free setup ensures drivers are not distracted by mobile devices, as payment confirmations will appear directly on the onboard screen.

In-Bus Surveillance System:

All buses will be equipped with internal security cameras to monitor driver and passenger activities. This serves multiple purposes:

- Promotes safety and discourages misconduct.
- Provides a reliable way to trace lost items such as phones, wallets, or personal belongings.
- Allows passengers to retrieve lost items at our facility after verification through recorded footage.

This tech-enabled approach will not only modernize our transport services but also set a standard for smart, secure, and user-friendly commuting. By digitizing operations and integrating real-time monitoring, we ensure efficiency and peace of mind for both passengers and management.

In-House Maintenance & Emergency Response Plan:

Our in-house mechanics will play a crucial role in maintaining and repairing the buses. To ensure transparency and accountability, drivers will not be permitted to carry out repairs outside the organization. This policy is in place to prevent fraud, exaggerated repair costs, and false reports.

In the event that a bus breaks down while in service, the driver will immediately contact our mechanics, who will be equipped with motorcycles for swift on-site response. If the issue can be temporarily resolved

with guidance, the mechanic will give clear instructions; otherwise, they will proceed to the location to assess and manage the repair.

Note: In such cases, a member of our team will promptly drive a standby bus to the affected driver's location, allowing the route operations to continue without interruption. The faulty bus will then be transported back to the facility for proper servicing or repairs.

Administrative Team - Operational Support & Oversight:

The administrative staff will serve as the backbone of the transport operation, ensuring smooth coordination and accountability across all units.

Their responsibilities include:

- Monitoring the real-time locations of all buses using the tracking system
- Creating and managing timetables for both buses and drivers, clearly assigning who is working, which bus they'll be using, and on what days
- Supporting active drivers on the road by providing live updates about road conditions, traffic, or any expected disruptions
- Cautioning and correcting driver behavior, especially in cases of unsafe driving or suspected misconduct
- Flagging and reporting any suspicious activity, such as buses veering off assigned routes or potential theft attempts

This team will function as the central control unit, making data-driven decisions and maintaining clear communication between the organization and drivers, ensuring the operation runs effectively and securely.

Support Staff - Security & Cleanliness:

Our security personnel will be responsible for safeguarding the facility, buses, staff, and equipment, ensuring the premises remain secure at all times.

Meanwhile, cleaners will maintain a clean and orderly environment, ensuring that the facility is always presentable, hygienic, and fully functional for both staff and visitors.

Together, they play a vital role in keeping the operations safe, professional, and welcoming.

Problem	Solution
<i>Payment Excuse Culture</i>	Transparent Remittance System
<i>Overused buses</i>	Rotational use of 10 buses daily with 2 on standby
<i>Unproductive drivers</i>	2-driver 8-hour shift system
<i>Buses taken home</i>	Secure central hub for parking and operations
<i>No real-time monitoring</i>	GPS tracking + Android onboard system
<i>Unsafe cash handling</i>	Cashless payments through the onboard interface
<i>Fraudulent repairs</i>	In-house mechanics only for maintenance
<i>Poor operational oversight</i>	Dedicated admin team with defined roles
<i>Security/cleanliness issues</i>	Employ guards and cleaners at the central hub

ESTIMATED STARTUP COST BREAKDOWN

1. Mini Buses (Korope - Tokunbo)

₦5,000,000 per unit × 15 = **₦75,000,000**

2. Facility Lease (1-2 Years)

Estimated range: **₦20,000,000**

3. Facility Renovation & Setup

Estimated cost: **₦10,000,000**

4. Licenses & Permits

Regulatory and operational approvals: **₦10,000,000**

5. Transport Management Software

System development and deployment: **₦10,000,000**

6. Contingency Fund (Unforeseen Circumstances): **₦25,000,000**

Total Estimated Initial Investment: **₦150,000,000** (approximately \$100,000)

OPERATIONS & FINANCIAL OVERVIEW FOR THE FIRST YEAR

- **Fare per Passenger:** ₦700
- **Passengers per Bus:** 7
- **Trips per 8-Hour Shift:** 6
- **Total Trips per Bus per Day (2 Shifts):** 12

Daily Revenue (per Bus): ₦700 × 7 passengers × 12 trips = ₦58,800

Total Daily Revenue (10 Buses): ₦58,800 × 10 buses = ₦588,000

Daily Remittance Target (per Bus): ₦25,000 × 12 buses = ₦300,000

Estimated Repairs & Maintenance:

₦5,000 per bus daily × 12 buses = ₦60,000/day

₦60,000 × 24 operational days = ₦1,440,000/month

Estimated Monthly Revenue (24 Working Days):

₦240,000 net earnings per bus × 24 days = ₦5,760,000

Projected Annual Revenue: ₦5,760,000 × 12 months = ₦69,120,000

Estimated Annual Operating Costs:

- **Administrative & Support Staff Salaries:** ₦6,000,000
- **Software Maintenance:** ₦1,200,000
- **Facility Lease:** ₦10,000,000
- **Miscellaneous Expenses:** ₦1,000,000

Estimated Net Revenue (After Deductions):

₦69,120,000 - ₦14,400,000 (Total Expenses) = ₦54,720,000

FUTURE PLANS

In the second year, the organization plans to expand from **15 to 20 total buses** by acquiring **5 additional buses**. This expansion strengthens capacity, increases revenue potential, and improves route efficiency.

Fleet Expansion

Cost of Bus = ₦5,000,000 X 5 = ₦ 25,000,000

After fleet expansion, funds will be allocated as follows:

- **₦5,000,000** for mobile app development to improve customer experience and streamline operations.
- **₦5,000,000** reserved for miscellaneous operational needs.

Balance from Last Year Revenue = 19,720,000

Fleet Structure for Year Two

- **20 buses total**
- **16 buses active daily**
- **4 buses on standby** for rotation, breakdown support, and preventive maintenance

Workforce Expansion

To support the increased fleet size and ensure smooth shift rotations:

- **8 additional drivers** will be employed
- Drivers will operate in shifts to maximize uptime and coverage

This structure ensures minimal downtime, strengthens service delivery, and boosts profit margins in the next financial year.

FINANCIALS FOR YEAR TWO

(20 Buses Total — 16 Active Daily)

Daily Remittance

₦25,000 × 16 buses = **₦400,000 per day**

Repairs & Maintenance

- Daily Maintenance: ₦5,000 × 16 = **₦80,000/day**
- Monthly Maintenance: ₦80,000 × 24 days = **₦1,920,000/month**
- Yearly Maintenance: ₦1,920,000 × 12 = **₦23,040,000**

Monthly & Annual Revenue

- **Monthly Gross Revenue**

$\text{₹}20,000 \times 16 \text{ buses} \times 24 \text{ days} = \text{₹}7,680,000$

- **Yearly Gross Revenue:**

$\text{₹}7,680,000 \times 12 \text{ months} = \text{₹}92,160,000$

Estimated Updated Yearly Expenses

Let's keep previous expenses and update relevant ones based on increased buses/drivers:

Expense Type	New Estimate	Notes
Administrative & Support Staff	₹6,500,000	Slight increase
Software Maintenance	₹2,400,000	No change
Facility Lease	₹10,000,000	Same lease
Miscellaneous	₹5,000,000	Increase

Total Yearly Expenses:

$= \text{₹}6,500,000 + \text{₹}2,400,000 + \text{₹}10,000,000 + \text{₹}5,000,000 = \text{₹}23,900,000$

Updated Net Revenue Projection (Year 2)

Gross Revenue (13 buses): ₹92,160,000

- **Total Expenses:** ₹23,900,000
- **Net Revenue:** ₹68,260,000

YEAR 3: VALUE-ADDED SERVICES

Perfect! Let's create **Year 3 fully structured and corrected**, consistent with your instructions:

- Revenue is **separate from maintenance/repairs**
- Fleet expansion is **10 new buses**, total 30 buses
- 24 buses active daily, 6 on standby
- Expenses, maintenance, and revenue are clearly separated
- Value-added services included (app, advertising, interior upgrades)

YEAR 3: EXPANSION & VALUE-ADDED SERVICES

Building on Year 2's strong performance, Year 3 focuses on **fleet growth, technology integration, and new revenue streams** to maximize operational efficiency and profitability.

1. Fleet Expansion

- **Year 2 Fleet:** 20 buses
- **Year 3 Additions:** 10 new buses
- **Total Fleet:** 30 buses

Daily Operation Structure:

- **Active Buses:** 24
- **Standby Buses:** 6 (for rotation, preventive maintenance, or breakdowns)

2. Mobile Application Deployment

The company will launch a **dedicated passenger app** featuring:

- Real-time bus tracking
- Seat pre-booking/reservation
- Customer feedback system
- Optional e-wallet integration

Impact: Enhances convenience, reduces wait times, and improves operational control.

3. Digital Advertising Screens

Buses will feature **digital screens** to generate additional revenue:

- Advertisements for corporate clients and brands
- Government campaigns
- Promotional space for Track23 services

Impact: Passive income and increased visibility.

4. Interior & Comfort Upgrades

To improve passenger experience:

- Updated seating layout
- Comfortable seats and improved interior finishing
- USB charging ports and better lighting/ventilation
- Branded décor and uniform seating

Impact: Positions Track23 as a premium, comfortable transport service.

5. Financial Overview (Year 3)

Revenue (Remittance Only)

- **Daily Revenue:** ₦25,000 × 24 buses = **₦600,000/day**
- **Monthly Revenue:** ₦25,000 × 24 × 24 days = **₦14,400,000/month**
- **Annual Revenue:** ₦14,400,000 × 12 = **₦172,800,000/year**

Repairs & Maintenance (Separate from Revenue)

- **Daily:** ₦5,000 × 24 = **₦120,000/day**
- **Monthly:** ₦120,000 × 24 days = **₦2,880,000/month**
- **Yearly:** ₦2,880,000 × 12 = **₦34,560,000/year**

Other Expenses

Expense Type	Amount
Administrative & Support Staff	₦9,000,000
Software Maintenance	₦4,500,000
Facility Lease	₦5,000,000
Miscellaneous	₦6,000,000

Total Other Expenses (Excluding Repairs):

₦9,000,000 + ₦4,500,000 + ₦7,000,000 + ₦6,000,000 = **₦26,500,000**

Total Expenses (Including Repairs & Maintenance)

~~₦26,500,000~~ + ~~₦34,560,000~~ = ~~₦61,060,000~~

Net Revenue

- **Gross Revenue:** ~~₦172,800,000~~
- **Total Expenses:** ~~₦61,060,000~~
- **Net Revenue:** ~~₦111,740,000~~

6. Summary of Year 3 Impact

- Fleet grows from 20 → 30 buses
- Active daily buses increase from 16 → 24
- Standby buses for rotation/maintenance: 6
- Annual gross revenue: ~~₦172,800,000~~
- Net revenue: ~~₦111,740,000~~
- Introduction of mobile app and digital advertising creates additional revenue streams
- Upgraded fleet interiors improve customer experience and brand positioning

INFLATION-PROOF BUSINESS MODEL & LONG-TERM EXPANSION PLAN

Inflation-Resilient Model

A core strength of our business is its resilience to economic fluctuations. As the Dollar-to-Naira exchange rate rises, the cost of fuel and transportation naturally increases. Instead of negatively affecting operations, this creates an opportunity to adjust fares, sustaining—and potentially increasing—revenue margins. In essence, Track23 operates a business that is naturally hedged against inflation and currency volatility, ensuring long-term financial stability.

Route Expansion & Strategic Growth (Years 3-5)

Year 3 (End Phase):

- Launch operations on high-demand routes such as Egbeda-Ikotun and Iyana-Iba-Mile 2.
- Boost fleet utilization and expand market reach in densely trafficked corridors.

Year 4:

- Partner with **interested investors** to establish **strategic transport hubs** across other parts of Lagos.
- These hubs serve as operational bases, enabling **fleet decentralization, faster service coverage, and improved route efficiency**.
- Extend operations to the **Iyana-Iba-Badagry corridor**, a growing commuter route.
- Introduce **14-18 seater buses** optimized for mid-range urban mobility, offering flexibility, comfort, and affordability.
- Strategic partnerships reduce operational risks, provide additional capital for expansion, and accelerate market penetration across Lagos.

Year 5:

- Begin investment discussions with electric vehicle manufacturers to integrate electric buses into the fleet.
- This move positions Track23 for sustainable transportation, reduced fuel dependency, and long-term operational cost efficiency.

Strategic Impact

This roadmap not only solidifies our position in Lagos' transport sector but also positions Track23 as a forward-thinking, tech-enabled, inflation-resilient, and scalable transport company. By combining strategic route expansion, fleet modernization, and sustainability initiatives, we ensure continued growth, profitability, and market leadership.